Content

Open guidance

# Identifying root causes

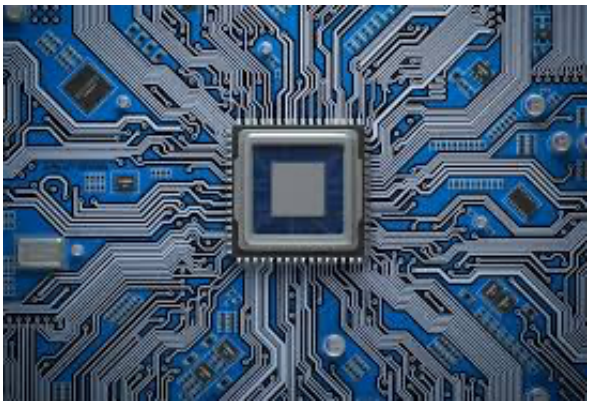
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Identifying gaps between the current and future states is an important step in gap analysis. **However, it must be followed by another important, but often overlooked, step.**

**That step is identifying the root causes of the gaps.**

Let's look at examples to illustrate why this step is so important. *(Instead of reading all four, select the example that feels most relevant to you!)*

**Software company: Addressing a gap in the sales team**



XYZ Tech, a software company, noticed a recurring gap in their sales department. Their salespeople were consistently failing to close deals, falling significantly short of their targets.

After analysing their current sales enablement processes and capturing an ideal future state in which all salespeople reach their targets, the management concluded that the sales team lacked the necessary selling skills and immediately implemented an extensive sales training program.

They brought in external trainers, set up role-play scenarios, and invested heavily in improving the team's sales techniques and strategies. However, despite these efforts, the sales performance didn't improve and their targets remained unachieved.

Concerned about the persisting issue, management decided to look deeper into why the training wasn't working. The analysis revealed that the critical issue was not the sales skills of their team, but rather their lack of in-depth knowledge about the product they were selling, and lack of belief in its value. The salespeople, though skilled, struggled to convey the benefits and value of the product to potential clients due to their own lack of understanding and confidence in the product's capabilities.

**In conclusion, XYZ Tech's initial response to conducting extensive sales training was an expensive oversight that could have been avoided with a proper root cause analysis.**

**Government agency: Addressing a gap in procurement**

ABC Agency, a government entity, noticed a recurring inefficiency in their procurement department. Their procurement officers were consistently failing to secure high-quality contractors, falling significantly short of their objectives.

After examining their current procurement procedures and defining an ideal future state in which all procurement officers effectively meet their objectives, management concluded that the procurement team lacked the necessary negotiation skills, and promptly put in place an extensive procurement training program. They brought in external trainers, established case study scenarios, and invested heavily in enhancing the team's procurement tactics and strategies. However, despite these efforts, the procurement efficacy didn't improve and their objectives remained unmet.

Concerned about the enduring problem, the management decided to delve deeper into why the training wasn't paying off. The analysis unveiled that the critical issue was not the negotiation skills of their team, but rather their lack of detailed knowledge about the services they were procuring and lack of belief in the value of these services. The procurement officers, though competent in negotiations, found it hard to secure high-quality contractors due to their own lack of understanding and confidence in the services.

In conclusion, ABC Agency's initial response to implementing extensive procurement training was a costly oversight that could have been avoided with a proper root cause analysis.

**Humanitarian organisation: Addressing a gap in fundraising**

LMN Aid, a humanitarian organisation, noticed a persistent disconnect in its fundraising department. Their fundraisers were consistently struggling to generate donations, falling markedly behind their campaign goals.

After scrutinising their current fundraising methodologies and envisioning an ideal future state in which all fundraisers meet their goals, the management concluded that the fundraising team lacked the necessary fundraising skills and promptly embarked on an intensive training program. They roped in external coaches, configured simulation exercises, and invested heavily in ameliorating the team's fundraising techniques and strategies. However, these attempts did not lead to an improvement in fundraising performance, and the donation goals remained unmet.

Concerned about the ongoing problem, the management decided to probe deeper into why the training wasn't proving fruitful. The analysis showed that the core issue wasn't the fundraising abilities of the team, but rather their lack of comprehensive understanding of the programmes they were advocating for, and lack of belief in the contribution these programmes make. The fundraisers, although articulate, struggled to convincingly express the value and impact of the programmes to potential donors due to their own lack of understanding and conviction in its importance.

In conclusion, LMN Aid's original response of rolling out comprehensive fundraising training was a costly misstep that could have been averted with a proper root cause analysis.

**Insurance company: Addressing a gap in user experience**

TUV Insurance faced a critical challenge in its claims processing department. The existing process was marred by delays and inaccuracies, impacting customer satisfaction and operational efficiency. To address this, TUV Insurance established an AI-powered platform to expedite claims. Leveraging AI-powered natural language processing and machine learning algorithms, the platform analyses claims, expedites approval for valid cases, and flags potential fraud for further scrutiny.

Despite initial implementation success, TUV Insurance encountered unforeseen challenges. While the platform may enhance back-end processing times and generate cost savings, customer satisfaction remains

a concern. Front-end user experience generated confusion and customers regularly made errors when trying to feed the system with correct information, leading to many false-positive fraud detections. An already low customer satisfaction saw a further decrease as customers felt their feedback for a clearer interface was not heard.

Further investigation revealed a need for improved communication and digital user experience during the claims process to enhance customer understanding and satisfaction. TUV Insurance's journey towards AI-driven claims processing reveals both successes and areas for enhancement. Redesigning the platform interface now incurs extra costs for the company and could have been better designed in the first iteration had there been a proper root cause analysis.

**As you saw in these examples, understanding the root cause behind a gap is essential to any transformation initiative. It not only provides clarity on the underlying issues that might otherwise go unnoticed, but also informs appropriate strategies and solutions.**

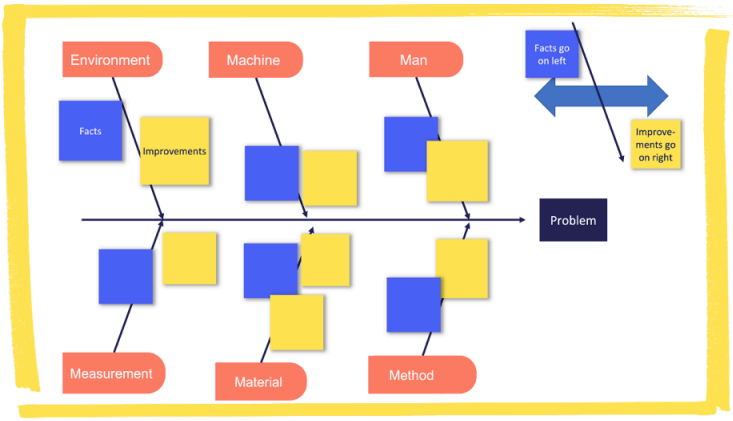
As we heard in the phone conversation between Rachel (Product Manager) and Tara (Transformation Specialist) at Flexi Yoga, gap analysis is most effective when done using a framework or structure for interrogating and documenting gaps and their root causes.

### Frameworks and strategies for analysing gaps

Several frameworks and strategies are used for analysing the root causes of gaps. These frameworks provide a structured way to explore gaps in an organisation's different domains (for example: **performance**, **product**, **people**, and **profit**).

We'll explore two commonly used frameworks: the **Fishbone diagram** and **The Five Whys**.

## Fishbone diagram




### What is it?

The fishbone diagram identifies different contributing factors behind a problem. The diagram looks like a fish skeleton—hence the name—and starts from a problem or issue, which is noted down as the ‘head’ or backbone of the fish. Various potential causes or factors contributing to the problem are then identified and represented in the form of 'bones' linking to the spine.

### How do you use it?

1. Identify the problem and write it at the head of the diagram
2. Draw a horizontal 'backbone' line from the problem
3. Write the main categories of causes along the line as 'bones' (see the section below on how you identify these categories)
4. Under each category, identify and note down specific contributing factors
5. If necessary, further break down these causes by asking “why”
6. Prioritise the causes based on their impact on the problem and ease of fixing

### How do you determine the categories of causes, or ‘bones’ of the diagram?

The ‘bones’ serve as the major buckets for the detailed causes that branch off in the diagram. Aim to identify the 4-6 highest-level categories spanning the range of influential factors. There are some common ways to do this:

#### Brainstorming

The team will brainstorm all potential categories of causes related to the problem. Common categories include people, processes, environment, materials, equipment, etc.

**The 4 Ps**

The 4 Ps is one of the most widely used approaches to categorising gaps. The 4 Ps include performance, product, people, and profit.

**The 5 Ms**

A common approach is to use the 5 Ms—manpower, methods, machines, materials, and measurements—as the bones of the diagram.

**The 6 Ms**

An expanded framework uses the 6 Ms—methods, machines, materials, manpower, measurement, mother nature (environment)—to identify the bones.

**Stakeholder input**

Discussions with stakeholders familiar with the problem can help identify relevant categories.

## The Five Whys

The Five Whys is a simple problem-solving technique. The process involves asking the question "Why?" five times. With each answer, you delve further into the origin of the problem, peeling back layers much like an onion's. However, you may not always need to ask "Why?" five times. The key is to ask as many times as it takes to reach the root cause.

**Example:**

Problem: Your car will not start.

1. Why? The battery is dead.
2. Why? The alternator is not functioning.
3. Why? The alternator belt has broken.
4. Why? The alternator belt was well beyond its useful service life and not replaced.
5. Why? The vehicle was not maintained according to the recommended service schedule. (Root Cause)

In this example, instead of simply replacing the battery (which is a solution to the symptom), the Five Whys guide you to the root cause—the vehicle was not maintained according to the recommended service schedule. The best solution, therefore, would be to start a regular maintenance schedule for the car.

## Documenting gaps

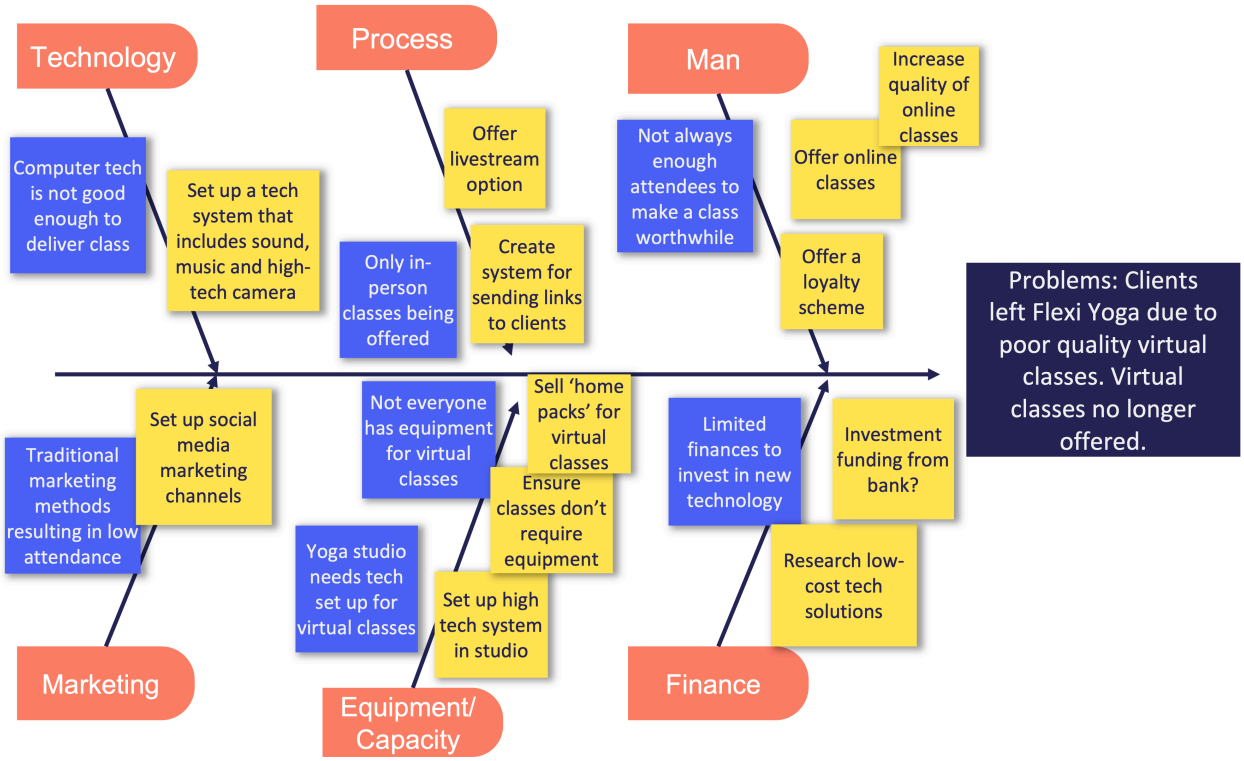
The fishbone diagram and Five Whys support you in identifying gaps that, if addressed, will get to the root of the problem. However, it's also important to document the results of your gap analysis as you prepare to present your findings to stakeholders and develop action plans.

Often, tables like the one below can be used to document gaps and the plans to address them.

| Category | Gaps | Plan to address |
|---|---|---|
| People | | |
| Process | | |
| Technology | | |
| Environment | | |

> **Tara has created a fishbone diagram for Flexi Yoga**
>
> *Hello there,*
>
> *Since we last spoke, I've had a go at putting together a draft of a fishbone diagram. This should help us clarify the main categories of the problem, and establish the facts, potential root causes, and ultimately the improvements we*

*need to consider.*




**Stop and think...**

What information did this fishbone reveal that previously went unnoticed when identifying gaps between the current state and the future state?

Why is it important to surface this information?

Below is a blank template to help you get started with your own fishbone analysis!

Fishbone Template.pdf

Mark as incomplete

Gap Analysis
Comparing current and fut...

Gap Analysis
Help Rachel with her analys...